

Department of Computer Engineering
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Assignment 4: Marketing, Market analysis, Competition

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Introduction

Following the validation of our problem and solution in the previous customer development phase, the CineLearn project is transitioning into the strategic market analysis phase. CineLearn aims to disrupt the mobile language learning market in Kazakhstan by resolving the specific difficulties intermediate English learners face when watching movies. Our product is a gesture based video platform that helps users learn vocabulary in authentic contexts. This report outlines the comprehensive business model regarding the customer interface. We analyze the market size using the bottom up approach with a specific focus on the Kazakhstani market, define our marketing mix adapted to the local economic context, establish our competitive advantage, and evaluate external factors through a macro environmental analysis.

Market Size Estimation

To assess the commercial viability of CineLearn we utilized the bottom up approach to calculate our Total Addressable Market, Serviceable Available Market, and Serviceable Obtainable Market. We consciously decided to restrict our initial calculations to the market of Kazakhstan to ensure realism and avoid inflated projections.

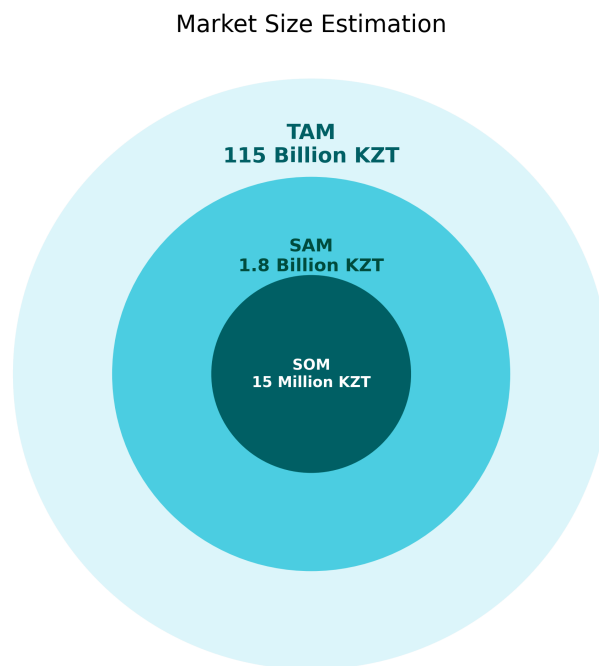


Figure 1. Market Size Estimation for Kazakhstan.

Our Total Addressable Market represents the total potential demand for online education in Kazakhstan. According to Forbes Kazakhstan the volume of the online education market is estimated to reach approximately 115 billion tenge (Forbes.kz, 2023). This figure represents the absolute ceiling if CineLearn were to capture the entire online education spending of the country. This serves as our theoretical limit.

For our Serviceable Available Market we narrowed down the scope to our specific target audience. This consists of urban youth and young professionals aged 18 to 35 in major cities like Astana and Almaty who are actively learning English. According to the Bureau of National Statistics, the population of Astana and Almaty combined is roughly 3.5 million people (Bureau of National Statistics, 2024). We estimate that about 20 percent of this population fits our target demographic of active English learners with smartphones. This

gives us approximately 700 thousand potential users. If we assume an average annual spending of 2500 tenge which represents one month of subscription, our serviceable market value stands at roughly 1.8 billion tenge.

The Serviceable Obtainable Market is the realistic market share we can capture within the first year of operation. As a student startup with a limited marketing budget, we aim to capture a conservative market share. Our goal is to acquire 600 paying subscribers by the end of the first year. This is a realistic target that we can achieve through university partnerships and social media content. With a subscription price of 2490 tenge per month, our projected revenue for the first year is approximately 15 million tenge. This calculation assumes that we convert roughly 4 percent of our free users into paid subscribers, which is a standard conversion rate for educational apps (Osterwalder & Pigneur, 2010).

The most critical assumption impacting this estimate is the willingness to pay of Kazakhstani students. We assumed that users are willing to pay 2490 tenge per month. This price was chosen because it is equivalent to the price of two cups of coffee in Astana. If economic inflation reduces disposable income, this conversion rate could drop. To improve the accuracy of our estimate we would need access to specific data from local competitors regarding their paid user retention in Kazakhstan.

Marketing Mix

To capture this market we have developed a marketing mix strategy tailored to the behavioral patterns of Gen Z in Kazakhstan.

Marketing Mix 4Ps

PRODUCT Gesture Control Smart Dictionary Video Feed Hidden Subtitles	PRICE Freemium 2490 KZT / month Student Discount Annual Pass
PLACE App Store Google Play Online Digital Only	PROMOTION TikTok Content Influencers University Pilot Referral System

Figure 2. The Marketing Mix 4Ps strategy for CineLearn.

Our product strategy is centered on frictionless immersion. CineLearn is an active learning ecosystem. The core feature is the double tap gesture for instant translation which

solves the dilemma identified in our customer development interviews. We also offer an augmented product with a smart dictionary that provides definitions in English rather than direct translation to Russian or Kazakh. This fosters immersive thinking and differentiates us from simple translation tools.

For price we rejected the standard US pricing and adopted a localized pricing strategy. We will use a freemium model. The free tier offers unlimited video watching but is limited to saving five words per day. The Premium tier costs 2490 tenge per month. This price was calculated based on competitive analysis as it is cheaper than a Netflix subscription and significantly cheaper than a single lesson with a tutor which usually costs around 4000 tenge. We will also offer a student plan for 1990 tenge for users who register with a university email address which secures our stronghold in the university market.

Regarding place CineLearn will be a digital product distributed via the Apple App Store and Google Play Store restricted initially to the Kazakhstan region to optimize for local search algorithms. Since the vast majority of internet users in Kazakhstan access the web via mobile devices mobile distribution is the only viable channel (DataReportal, 2024). We will leverage app store optimization using keywords relevant to Kazakhstani users such as IELTS preparation and English by movies.

Our promotion strategy relies on content marketing rather than expensive direct advertising. We will utilize TikTok and Instagram Reels as these platforms have the highest engagement among our target demographic in Kazakhstan. We will create a series of short clips explaining slang from popular movies with a call to action to download the app. Additionally we will partner with local micro influencers who are English teachers on Instagram. Research shows that local audiences trust micro influencers more than major celebrities (Influencer Marketing Hub, 2024). Finally we will launch an internal pilot at Astana IT University creating a referral program where students get a free month of Premium for inviting three friends.

Competitive Advantage and Landscape

Our primary competitive advantage is the contextual review algorithm. While competitors can replicate a video player replicating the logic that automatically slices a specific sentence from a movie based on a saved word and serving it in a vertical feed requires complex backend architecture. To defend this advantage we are building a database of contextual metadata that links words to timestamps and emotional tags in movies. This creates a barrier to entry known as the data network effect meaning the product becomes better the more people use it.



Figure 3. Competitor Positioning Map.

We have analyzed the competitive landscape in Kazakhstan. Our direct competitor is Language Reactor which is a Chrome extension. However it is desktop only whereas our research shows Kazakhstani youth are mobile first. Our indirect competitors are apps like Duolingo and local offline tutors. Duolingo is too gamified and lacks real context while tutors are expensive. CineLearn occupies the mobile immersive niche.

We also identified a change in the landscape with the rise of Generative AI. Students are increasingly using ChatGPT to translate words. However ChatGPT is text based and cannot provide the audio visual context of a movie scene instantly. We validated this by testing top AI tools and none could replicate our double tap on video experience. This confirms our user experience remains a unique differentiator.

Competitor Analysis

We conducted a deep dive into two key competitors relevant to our market which are Language Reactor and Duolingo.

Language Reactor allows users to see dual subtitles. Its advantage is a massive library of content because it sits on top of Netflix. Its disadvantage is that it only works on desktop browsers like Chrome. It is useless for a student on a bus in Almaty. Its user interface is cluttered and overwhelming. Our position is that we strip away the complexity and put the functionality in the pocket. We win on mobility.

Duolingo is the market leader in free learning. Its advantage is incredible habit forming mechanics and brand recognition. Its disadvantage is that the content is synthetic. Sentences like the green owl eats an apple are useless for someone trying to understand the movie Interstellar. Our position is that we win on authenticity. We serve B1 and B2 learners who have outgrown Duolingo and need real world language.

PESTLE Analysis

To ensure our business model is resilient we conducted a macro environmental analysis specific to Kazakhstan.

Political factors include the government of Kazakhstan actively supporting digitalization and English literacy through national programs. This creates a favorable environment. However we must comply with local data localization laws requiring user data to be stored on servers within Kazakhstan.

Economic factors include high inflation in Kazakhstan which affects purchasing power. This validates our low cost pricing strategy. If the tenge devaluates further we may need to adjust prices but a subscription model is generally more resilient than one time purchases.

Social factors include a high social pressure in Kazakhstan to learn English for career advancement and migration. Passing IELTS is a major goal for students. This social trend guarantees a steady flow of motivated customers for our serviceable market (EF Education First, 2024).

Technological factors include the expansion of 5G networks in Astana and Almaty which improves video streaming quality. This is vital for our app. Additionally the availability of open source AI models allows us to improve our dictionary features at a low cost.

Legal factors present the biggest risk regarding copyright. Streaming movies without a license is illegal. To mitigate this our minimum viable product will strictly use the YouTube API which handles rights and open domain movies. We will also implement a feature where users upload their own video files shifting liability similar to VLC player.

Environmental factors are less direct but video streaming consumes high energy in data centers. We will optimize our video compression algorithms to reduce data transfer

marketing this as a data saver mode which is also practical for users with limited mobile data plans.

Conclusion

The market analysis confirms that CineLearn has a viable path to market in Kazakhstan. By targeting the specific segment of intermediate mobile learners with a localized pricing strategy of 2490 tenge we can achieve sustainable revenue of 15 million tenge within the first year. Our competitive advantage lies in our unique user experience and mobile first approach distinguishing us from desktop tools and gamified apps. While legal risks regarding copyright exist our strategy to utilize YouTube and user uploads mitigates this initially. The macro environmental analysis confirms that the social and technological trends in Kazakhstan favor our growth.

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